

If you have failed the test but are still fighting the urge to spend, consider these suggestions:

- Set up a buddy system with a friend who you can call when you have the urge to spend.
- Do not take more money with you when you leave the house than you will need for the day.
- Leave your credit and debit cards at home.
- Make a shopping list and stick to the items on it. Do not be tempted to buy items not on the list.
- Use the envelope method for certain expenses. When the envelope is empty, no more money can be spent in that category. For example, if the entertainment envelope is empty, do not borrow from the food envelope.

Once Patti learned to restrain her spending, she made sure that she followed one other smart money strategy, obtaining insurance. Insurance for all areas of our lives is something that should be considered a “need” instead of an “exception” in our expense budgets. However, a 2006 study by NAIC found that 20 percent of young adults that currently have automobile insurance say they would consider letting their insurance lapse as a way of saving money. In addition, 14 percent said they would consider letting their health insurance lapse. By maintaining insurance “just in case,” we will be assured that any losses in our lives will be compensated. Usually these losses come with a hefty price tag, as Patti can testify.

Hoping for Quick Gains

When a windfall is received, it may appear to be “easy money.” If you expended little or no effort to receive the money, you may be tempted to double or triple your initial bounty. However, a short cut to making money is not usually guaranteed. More times than not, the promise of high percentage

